NPTEL Online Certification Courses

Indian Institute of Technology Kharagpur

Foundation Course in Managerial Economics

Assignment- Week 7

TYPE OF QUESTION: MCQ

Number of questions: 10 **Total mark: 10 X 1 = 10**

QUESTION 1:

Which of the following is not the characteristics of monopolistic competition?

a. Many number of sellers.
b. Free entry/exit.
c. The products firms offer are identical in nature.
d. Firm has market power

Correct Answer: c

Solution: Monopolistically competitive firms offer differentiated products.

QUESTION 2:

In short run, monopolistically competitive firm's behavior is very similar to monopoly.

a. True
b. False

Correct Answer: a

Solution: In short run monopolistically competitive firms behave like monopoly but in long run easy entry/exit leads to zero economic profit.

QUESTION 3:

Which of the following(s) is/are incorrect regarding monopolistically competitive firms?

a. Monopolistically competitive firm faces horizontal demand curve
b. Monopolistically competitive firm operates at the downward sloping part of ATC curve.

c. Monopolistically competitive firm charges price higher than its marginal cost.
d. Both (a) and (c).

Correct Answer: d

Solution: In monopolistically competitive market, the firms face downward sloping demand curve and charges a price higher than marginal cost.

QUESTION 4:

The two types of imperfectly competitive markets are

a. Perfect competition and oligopoly.

b. Monopoly and Perfect competition.

c. Monopolistic competition and oligopoly

d. Only Monopoly is imperfectly competitive

Correct Answer: c

Solution: In oligopoly, although firms face competition from rival firms, they can decide the price they can charge after taking into account behavior of their rivals. In monopolistically competitive market there is competition from large number of firms but individual firms enjoy some market power by differentiating their product from other substitutable products in the market. Monopoly has least competition and hence imperfectly competitive. In perfect competition firms are price takers and have no market power. In the real world though, there is no perfect competition.

QUESTION 5:

A monopolistically competitive firm faces the following demand schedule for its product. In addition, the firm has total fixed costs equal to Rs7.

Price	Quantity
Rs12	1
Rs10	2
Rs8	3
Rs6	4
Rs4	5
Rs3	6
Rs2	7

If the firm has a constant marginal cost of Rs3 per unit, how many units should the firm produce to maximize profit?

a. 4 units
b. 3 units
c. 7 units
d. 5 units

Correct Answer: c

Solution:

Profit maximization, MR=MC=Variable Cost

So, total cost= fixed cost +Q*variable cost

Profit = Revenue – total cost

So, you can calculate profit for each quantity level and find that at 3 units, profit is maximum.

QUESTION 6:

Which of the following(s) is/are the examples of monopolistic competition.

a. Eggs
b. Fast-food
c. Night club
d. Both (b) and (c)

Correct Answer: d

Solution:

Eggs are very similar goods and not differentiated. Fast-food and night club are the examples of monopolistic competition as there are many sellers in the market but offer differentiated product/service.

QUESTION 7:

Choose the correct statement:

a. In monopolistic competition, if economic profit is negative in the short run, more firms exit the market shifting the supply curve to the left and bringing down prices and ultimately profits to zero for all firms in the long run.
b. In monopolistic competition, if economic profit is positive in the short run, more firms enter the market shifting the supply curve to the right and bringing down prices and ultimately profits to zero for all firms in the long run.
c. In monopolistic competition, if economic profit is negative in the short run, more firms exit the market shifting the supply curve to the right and bringing up prices and ultimately profits to zero for all firms in the long run.
d. In monopolistic competition, if economic profit is negative in the short run, more firms exit the market shifting the supply curve to the left and bringing up prices and ultimately profits to zero for all firms in the long run.

Correct Answer: d

Solution: Other options are wrong.

QUESTION 8:

In long run under monopolistic competition, entry/ exit of firms may occur until price=average total cost and earning positive economic profit.

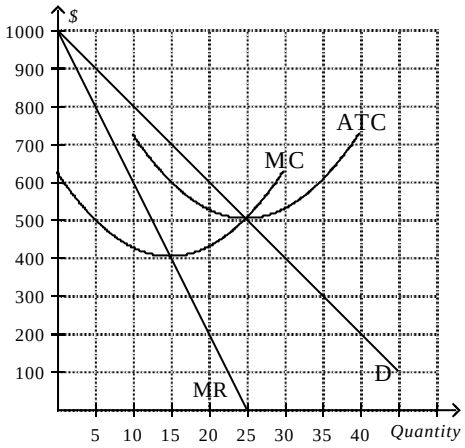
a. True
b. False

Correct Answer: b

Solution: In long run under monopolistic competition, entry/ exit of firms may occur until price=average total cost and economic profit equals to zero.

QUESTION 9:

Refer to the following figure. The firm in this figure is monopolistically competitive. It illustrates the firm earns a short run loss.



a. True
b. False

Correct Answer: b

Solution:

In monopolistically competitive market, MR= MC and that leads to equilibrium quantity of 15 units.

So, total cost= 15 x 600 = 9000

Total revenue= quantity x average revenue= 15 x 700 =10500

So profit = 10500-9000=1500

QUESTION 10:

The reason(s) behind why monopolistic competitive firms are less efficient than perfect competition is/are

a. Produce less than cost minimizing output.
b. Operate on the downward sloping part of its ATC curve.
c. Charging a price equals to its marginal cost.
d. Both (a) and (b)

Correct Answer: b

Solution: Since, monopolistically competitive firms operate on the downward sloping part of its ATC curve and produce less than cost minimizing output, they are less efficient than perfectly competitive firms.

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